for the product utilization of excess funds and other factors.

Step-2: Scanning Business Environment

The new entrepreneur should plan administrative frame work, policy guidelines, rules and regulations pertaining to their enterprise.

Step-3: Selection of Idea

The third step in setting up the enterprise is selection of idea. The entrepreneurs has to consider whether idea is:

- Innovative and competitive in the area
- In tune with the availability of raw materials
- Conforms to available infrastructural facilities.

Relevant experience, government policies and availability of profit margin will help in selection of ideas. The analysis of these factors helps the entrepreneur to select the right idea for its implementation.

Step-4: Deciding Organization Structure

The entrepreneurs should decide type of organizational structure for the proposed business.

Proprietary Unit: Sole proprietorship is a form of business concern in which single individual introduces his own capital, enjoys the profits and bears the risk and losses. No specific document is required to be created except obtaining trade license from municipal authorities.

Partnership Firm: Partnership is an association of two or more persons who pool their financial and managerial resources and agree to carry on a business and share its profit or losses. No partnership firm can have **more than 20 persons.** A written agreement creating the partnership firm is known as partnership deed.

Co-operative Society: Cooperative society is a voluntary association of persons who work together to promote their economic interests. It works on the principle of self-help and mutual help. The primary objective is to provide support to the members.

Joint Family Business: The Joint family business is a form of business organization run by the family members of three successive generations own the business jointly. The head of the family known as **Karta** manages the business. The other members are called **coparceners**. All of them have equal ownership rights over the properties of the business

Company: A company is either a private limited company or a public limited company. A private limited company is formed with a minimum of two persons and a maximum of 50 persons. A public limited company is formed with a minimum of 7 persons and maximum number of persons is unlimited.

Depending on the suitability of business organization, the entrepreneur has to select and decide to setup organizational structure for his proposed business.

Step-5: Preparation of Project Report

Next the entrepreneur has to prepare a project report which provides detailed information about the proposed business. The project report covers introduction of the proposed project brief history, the constituents of the unit, nature of the unit, key personnel, product information, marketing details, competition, manufacturing processes, machinery, details of raw

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